

Time Series Reversal in Trend-Following Strategies^{*,**}

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Abstract

This paper empirically studies the reversal pattern following the formation of trend-following signals in the time series context. This reversal pattern is statistically significant and usually occurs between 12 and 24 months after the formation of trend-following signals. Employing a universe of 55 liquid futures, we find that instruments with sell signals in the trend-following portfolio (“losers”) contribute to this type of reversal, even if their profits are not realised. The instruments with buy signals in the trend-following portfolio (“winners”) contribute much less. A double-sorted investment strategy based on both return continuation and reversal yields to portfolio gains which are significantly higher than that of the corresponding trend-following strategy.

Keywords: Reversal, Trend-following Strategies, Market Timing, Time Series Momentum, Return Signal Momentum

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